

TABLE 6.35 Sector results 2010

	Currencies	Agriculture	Non-Agriculture	Equities	Rates	All sectors
Long	1.0	25.5	2.6	-2.0	18.9	46.0
Short	1.6	-6.6	-3.7	-3.0	-5.1	-16.8
Total	2.1	19.4	-1.2	-4.2	14.4	30.5

TABLE 6.36 Results 2010

	US\$	Percentage
Starting NAV	55,977,147	559.77
Trading result	17,077,542	30.50
Interest income	258,194	0.50
Management fee	1,078,698	1.90
Performance fee	2,438,556	4.40
Net result	13,818,482	24.70
Ending NAV	69,795,629	698.00

from proverbial thin air feels pretty good, doesn't it? The interest rates are starting to get quite low, so we won't get much help from that side, but perhaps it doesn't matter so much with the amount of trading gains we're making. After this nice year, we end up charging US\$3.5 million to the fund, and after this the investors still have a profit on their capital of nearly US\$14 million. The initial US\$10 million that they entrusted to your care in late 2001 is now worth nearly US\$70 million.

■ 2011

Despite struggling with the equity markets last year, we're still fully loaded on the bullish side at the start of 2011. It's another high-risk portfolio composition, with concentrated bets on long equities, long agriculture, and in a reversal from last year, short rates (Tables 6.37 and 6.38, and Figure 6.56). What could possibly go wrong with being fully loaded on stocks in early 2011? Those of us who were in the market at that time, or who were in Asia, are probably a little concerned over this allocation. As someone who had a big bet on long Japanese stocks on at the time, this is not a year that I remember fondly.